

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR
6 HOUSE JOINT
7 RESOLUTION NO. 1077

By: Caldwell (Trey), **Kane,**
Hill, Moore, Sterling,
Manger, and **Pae** of the
House

8 and

9 **Hall** of the Senate

10
11 COMMITTEE SUBSTITUTE

12 A Joint Resolution directing the Secretary of State
13 to refer to the people for their approval or
14 rejection a proposed amendment to Section 40 of
15 Article X of the Constitution of the State of
16 Oklahoma; allowing deposits of assets, stock, and
17 other equity investments to the Tobacco Settlement
18 Endowment Trust; eliminating the Board of Directors
19 of the Tobacco Settlement Endowment Trust and all
20 such duties; requiring the Board of Investors of the
21 Tobacco Settlement Endowment Trust to annually
22 distribute earnings to the benefit of the Trust, the
23 Oklahoma Higher Learning Access Act, and the
24 Education Reform Revolving Fund under certain
 distribution methodology; providing ballot title; and
 directing filing.

22 BE IT RESOLVED BY THE HOUSE OF REPRESENTATIVES AND THE SENATE OF THE
23 2ND SESSION OF THE 60TH OKLAHOMA LEGISLATURE:

1 SECTION 1. The Secretary of State shall refer to the people for
2 their approval or rejection, as and in the manner provided by law,
3 the following proposed amendment to Section 40 of Title X of the
4 Constitution of the State of Oklahoma to read as follows:

5 SECTION 40. A. There is hereby created a trust fund to be
6 known as the "Tobacco Settlement Endowment Trust Fund". The trust
7 fund principal shall consist of the portion of monies which are
8 received by the State of Oklahoma on or after July 1, 2001, pursuant
9 to any settlement with or judgment against any tobacco company or
10 companies as provided by subsection B of this section, and any other
11 monies, real property assets, stock, and other equity investments
12 that may be appropriated or otherwise directed to the trust fund by
13 the Legislature or this Constitution.

14 B. 1. Deposits into the trust fund from monies which are
15 received by the State of Oklahoma pursuant to any settlement with or
16 judgment against any tobacco company or companies shall be based on
17 the following schedule:

Fiscal Year	Minimum Percentage of Payments
Ending June 30, 2002	50%
Ending June 30, 2003	55%
Ending June 30, 2004	60%
Ending June 30, 2005	65%
Ending June 30, 2006	70%

Ending June 30, 2007

75%

2. Deposits into the trust fund in subsequent fiscal years shall never be less than seventy-five percent (75%) of the payments.

3. The monies received by the State of Oklahoma pursuant to any settlement with or judgment against any tobacco company or companies after June 30, 2001, not deposited into the trust fund as provided in this section, shall be deposited into a special fund established by the Legislature solely for the purpose of receiving the payments; provided, the Legislature may, by law, direct a certain portion of such monies to the Office of the Attorney General. The special fund shall be subject to legislative appropriations.

C. There is hereby created the Board of Investors of the Tobacco Settlement Endowment Trust Fund. The Board of Investors shall have the duty of investing, managing, and administering monies, real property assets, stock, and other equity investments in the trust fund, subject to restrictions and limitations provided by law for and in accordance with laws applicable to the investment of monies in state retirement funds.

The Board of Investors shall consist of five (5) members as follows:

1. The State Treasurer who shall be the chair;
2. An appointee of the Governor;
3. An appointee of the Speaker of the House of Representatives;
4. An appointee of the President Pro Tempore of the Senate; and

1 5. An appointee of the State Auditor and Inspector.

2 The initial appointees shall serve staggered terms of office as
3 provided for by law. Thereafter, appointees shall serve four-year
4 terms of office. No more than two appointees shall be appointed
5 from any single congressional district. All appointed members shall
6 have demonstrated expertise in public or private investment funds
7 management.

8 ~~D. There is hereby created the Board of Directors of the~~
9 ~~Tobacco Settlement Endowment Trust Fund. The Board of Directors~~
10 ~~shall consist of seven (7) members, one appointed by each of the~~
11 ~~following appointing authorities:~~

12 ~~1. The Governor;~~

13 ~~2. The President Pro Tempore of the Senate;~~

14 ~~3. The Speaker of the House of Representatives;~~

15 ~~4. The Attorney General;~~

16 ~~5. The State Treasurer;~~

17 ~~6. The State Auditor and Inspector; and~~

18 ~~7. The State Superintendent of Public instruction.~~

19 ~~The initial appointed members shall serve staggered terms of~~
20 ~~office as provided for by law. Thereafter, the appointed members of~~
21 ~~the Board of Directors shall serve seven-year terms of office. At~~
22 ~~least one appointee shall be appointed from each congressional~~
23 ~~district, and not more than two appointees shall be appointed from~~
24 ~~any single congressional district. Not more than four appointees~~

1 ~~shall be members of the same political party. An appointee shall~~
2 ~~have been a member of the political party to which the appointee~~
3 ~~belongs for at least one (1) year prior to the date of appointment.~~
4 ~~Appointees shall have demonstrated expertise in public or private~~
5 ~~health care or programs related to or for the benefit of children or~~
6 ~~senior adults.~~

7 ~~The Board of Directors shall meet at least one time each~~
8 ~~calendar quarter.~~

9 ~~E.~~ Earnings from the trust fund, including but not limited to
10 interest, dividends, and realized capital gains from investments of
11 the trust fund shall be ~~expended~~ transferred as provided in
12 subsection F ~~E~~ of this section ~~for the following purposes:~~

13 ~~1. Clinical and basic research and treatment efforts in~~
14 ~~Oklahoma for the purpose of enhancing efforts to prevent and combat~~
15 ~~cancer and other tobacco-related diseases;~~

16 ~~2. Cost-effective tobacco prevention and cessation programs;~~

17 ~~3. Programs other than those specified in paragraph 1 of this~~
18 ~~subsection designed to maintain or improve the health of Oklahomans~~
19 ~~or to enhance the provision of health care services to Oklahomans,~~
20 ~~with particular emphasis on such programs for children;~~

21 ~~4. Programs and services for the benefit of the children of~~
22 ~~Oklahoma, with particular emphasis on common and higher education,~~
23 ~~before- and after-school and pre-school programs, substance abuse~~
24

~~prevention and treatment programs and other programs and services
designed to improve the health and quality of life of children;~~

~~5. Programs designed to enhance the health and well-being of
senior adults; and~~

~~6. Authorized administrative expenses of the Office of the
State Treasurer and the Board of Directors.~~

~~F. E. Each fiscal year, the Board of Directors may expend
Investors shall distribute the amount of earnings which actually
accrued to the trust fund during the preceding fiscal year, to the
funds described and in the manner prescribed in subsection F of this
section. Any amount not so expended shall remain in the trust fund.
The Board shall direct specific expenditures to be made for the
purposes specified in subsection E of this section.~~

F. Earnings as described in subsection D of this section shall
be distributed in priority as follows:

1. Twenty percent (20%) shall be retained by the trust fund as
principal;

2. The additional amount estimated annually by the Oklahoma
State Regents of Higher Education, necessary to fully fund awards
allowed pursuant to the Oklahoma Higher Learning Access Act, for the
fiscal year which begins the following July 1, or all remaining
earnings available for distribution if the entire amount of estimate
is not available for distribution, to the State Regents of Higher

1 Education for the support of the Oklahoma Higher Learning Access
2 Act; and

3 3. All remaining funds after the distributions described in
4 paragraphs 1 and 2 of this subsection have been made, if any, to the
5 Education Reform Revolving Fund of the State Treasury.

6 G. The Legislature may enact laws to further implement the
7 provisions of this section.

8 SECTION 2. The Ballot Title for the proposed Constitutional
9 amendment as set forth in SECTION 1 of this resolution shall be in
10 the following form:

11 BALLOT TITLE

12 Legislative Referendum No. _____ State Question No. _____

13 THE GIST OF THE PROPOSITION IS AS FOLLOWS:

14 This measure amends the Oklahoma Constitution. It amends
15 Section 40 of Article 10. This measure would authorize real
16 property assets, stock, and other equity investments, in
17 addition to monies, be added to the Tobacco Settlement Endowment
18 Trust. This measure would eliminate the Board of Directors of
19 the Tobacco Settlement Endowment Trust Fund and its related
20 duties associated with administering and distributing earnings
21 from the Tobacco Settlement Endowment Trust. The measure would
22 require the Board of Investors of the Tobacco Settlement
23 Endowment Trust to annually distribute Trust earnings of twenty
24 percent back into the Trust, and then use remaining earnings to

1 fund awards of the Oklahoma Higher Learning Access Act, also
2 known as Oklahoma's Promise Scholarships, and subsequently
3 distribute remaining earnings to the Education Reform Revolving
4 Fund of the State Treasury, also known as the 1017 Fund.

5 SHALL THE PROPOSAL BE APPROVED?

6 FOR THE PROPOSAL — YES _____

7 AGAINST THE PROPOSAL — NO _____

8 SECTION 3. The Chief Clerk of the House of Representatives,
9 immediately after the passage of this resolution, shall prepare and
10 file one copy thereof, including the Ballot Title set forth in
11 SECTION 2 hereof, with the Secretary of State and one copy with the
12 Attorney General.

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14 COMMITTEE REPORT BY: COMMITTEE ON RULES, dated 03/09/2026 - DO PASS,
15 As Amended and Coauthored.
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